

Asia week ahead: China and Indonesia rate decision, key data from Japan, Korea and Taiwan

China and Indonesia will announce rate decisions. Key data releases include trade figures from Taiwan and South Korea, and Japanese GDP



Asia Research highlights of the week

[Inflationary pressures mount in South Korea and Japan, raising rate hike odds](#)
[China reflation momentum strengthens in April, likely keeping the PBOC on hold](#)
[Taiwan's exports see a rare miss in April](#)

Indonesia: BI expected to hike rates by 25bps

Much has changed since Bank Indonesia's last monetary policy meeting, when BI left rates unchanged and refrained from signalling a more hawkish stance. Since then, the IDR has

depreciated by over 1.5%, despite active BI intervention in FX markets to contain currency pressures. At the same time, expectations for Federal Reserve rate cuts have shifted amid resilient US macro data, further widening rate differentials unfavourably for the IDR. Given BI's continued emphasis on currency stability, we expect the central bank to pivot toward tightening and deliver a 25 bp rate hike at Wednesday's meeting

China: Economic releases to have mixed results

China's key data dump is scheduled for release on Monday. We expect a mixed bag for domestic activity data, with industrial production and retail sales edging up to 5.8% and 1.8% year-on-year, respectively. Fixed-asset investment could slow further to 1.6% YoY, year-to-date. Industrial activity has been supported by strong external demand, but the rest of China's domestic demand indicators have been quite lacklustre. The 70 city property price data will also be released on Monday. We'll be watching closely for any further signs that prices are bottoming out. A trough has yet to be confirmed, but generally, we've seen the price declines slow this year. On Wednesday, we expect loan prime rates to remain unchanged. We recently pushed back our People's Bank of China rate cut call to 4Q26 amid increased reflation momentum and stronger-than-expected 1Q26 GDP.

Taiwan: Tech exports to continue pushing growth

Taiwan releases its export orders data. We expect orders to moderate to 54.3% YoY, which remains a very strong reading. Export orders opened the year quite strongly, suggesting that Taiwan's external demand-driven growth is set to continue. Higher-tech product prices have been a major tailwind, even though they have also boosted import costs.

Japan: Middle East conflict poses bigger risk to inflation than GDP

Japan's upcoming data releases will reveal the economic impact of energy disruptions. Energy effects may have a limited impact on growth but a greater impact on inflation.

We believe the economy continued to grow at a similar rate as the previous quarter. We expect GDP to rise 0.3% quarter-on-quarter, seasonally adjusted. The war's impact on GDP should be minimal in 1Q26. Exports should turn positive as shipments to the US and China improve, while domestic consumption and investment should continue to expand, supporting overall growth. We believe that the energy shock will have a limited effect on Japan's April trade data. Japan is expected to benefit from AI-driven growth, although energy-related challenges may constrain overall expansion. Imports also should continue to rise, partly driven by higher energy import prices. Meanwhile, the impact of war should be more prominent on inflation than on trade. Higher energy costs are expected to increase overall inflation. The impact, though, will likely be still less significant than that observed in other Asian and developed countries. Energy subsidies and the waiving of social welfare service fees should help keep inflation in check. Inflation is expected to rise to 1.8% year-on-year in April, up from 1.5% in March.

South Korea: Divergence between trade and consumer health

South Korea's economy remains resilient, though underlying imbalances are becoming more pronounced. Clearly, the semiconductor supercycle is supporting the overall economy, but energy

headwinds threaten consumers' everyday lives and other manufacturing industries. This is especially true in petrochemicals and oil refining. Upcoming data should display these uneven developments in Korea. We expect consumer sentiment to deteriorate further in April, as consumers are more vulnerable to inflation hikes. At the same time, May's 20-day trade data is expected to highlight once again how strong semiconductor exports are helping to offset the impact of energy disruptions.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Monday 18 May				
China	1000	Apr Fixed Asset Investment (YoY%. ytd)	1,6	1,7
	1000	Apr Industrial Output (YoY%)	5,8	5,7
	1000	Apr Retail Sales (YoY%)	1,8	1,7
	1000	FDI (YTD, YoY%)	-	-7,3
Tuesday 19 May				
Japan	0750	Q1 GDP (QoQ%)	0,3	0,3
Wednesday 20 May				
China	0915	May Loan Prime Rate 1Y	3	3
	0915	May Loan Prime Rate 5Y	3,5	3,5
Indonesia	1530	Interest Rate Decision	5	4,75
Taiwan	1600	Apr Export Orders (YoY%)	54,3	65,9
	1620	Q1 Current Account (USD bn)	-	69,9
Thursday 21 May				
Japan	0750	Apr Imports (YoY%)	10	10,9
	0750	Apr Trade Balance (JPY bn)	0	64,3
	0750	Apr Exports (YoY%)	11	11,7
	0750	Mar Core Machine Orders (MoM%/YoY%)	-10/0	13,6/24,7
	0830	May S&P Manufacturing PMI Flash	54,5	55,1
	0830	May S&P Services PMI Flash	51,5	51
	0830	May S&P Composite PMI Flash	52,5	52,2
	0500	Apr PPI (MoM%/YoY%)	-/-	1,6/4,1
South Korea	0800	May 20 Days Exports and Imports (YoY%)	-	49,4/17,7
Australia	0700	May S&P Manufacturing PMI Flash	-	51,3
	0700	May S&P Services PMI Flash	-	50,7
	0700	May S&P Composite PMI Flash	-	50,4
	0930	Apr Unemployment Rate	-	4,3
Friday 22 May				
Japan	0730	Apr CPI (MoM%/YoY%)	0,7/1,8	0,4/1,5
South Korea	0500	May Consumer Sentiment Index	98	99,2
Indonesia	1100	Q1 Current Account (USD bn)	-	-2,5
Taiwan	1600	Apr Unemployment Rate	-	3,4
	1620	Apr Money Supply (YoY%)	-	5,8

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